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CHAPTER- IV
COMPUTATION OF TOTAL INCOME
PART - E

Capital gains

Behind every successful business decision, there is always a CMA

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Section-67 of Income Tax Act, 2025

Capital gains

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Section 67 – Capital gains

"67. Capital gains.

(1) Any profits or gains arising from the transfer of a capital asset effected in a tax year shall, save as otherwise provided in section 82, 83, 84, 85, 86, 87, 88 and 89, be chargeable to income-tax under the head "Capital gains" and shall be deemed to be the income of the tax year in which the transfer took place."

Capital gains are chargeable to tax in the hands of the assessee where:

- there is a **transfer of a capital asset**, and
- such transfer takes place during the **relevant tax year**.

Accordingly, the capital gain is **taxable in the year in which the transfer occurs**.

Point of attention

In certain special cases, capital gains are **not taxed in the year of transfer**. Instead, they are **taxable in the year as specified in the provisions of this section**. These exceptions are **specifically provided in the subsequent subsections of Section 67**.

Section 67 – Capital gains

For example, section 67(2)(a) states that,

"(2) Irrespective of anything contained in sub-section (1), if a person receives during any tax year any money or other assets under an insurance from an insurer on account of damage to, or destruction of, any capital asset, as a result of circumstances mentioned in sub-section (3), then,—

(a) any profits or gains arising from receipt of such money or other assets shall be chargeable to income-tax under the head "Capital gains" and shall be deemed to be the income of such person of the tax year in which such money or other asset was received; and"

Further section 67(14)(a) states that,

"(14) Irrespective of anything contained in sub-section (1), if the capital gains arises to a person (being an individual or a Hindu undivided family), from the transfer of a capital asset, being land or building or both, under a specified agreement, then,—

(a) such capital gains shall be chargeable to income-tax for the tax year in which the certificate of completion for the whole or part of the project is issued by the competent authority; and"

Section 67 – Capital gains

Analysis:

- For section 67(2)(a), any amount received by the assessee from an **insurer** on account of **damage or destruction of a capital asset** is taxable as capital gains in the **year of receipt**.

- For section 67(14)(a), in case of transfer of a capital asset under a **Joint Development Agreement (JDA)**, capital gains are taxable in the **year in which the completion certificate is issued**, where consideration is received in the form of a **share in the project or constructed property.**

- **Several other specified cases like conversion capital asset into stock-in-trade, compulsory acquisition of capital assets etc.** are also provided where the **year of taxability is laid down specifically in the subsections of section 67.**

Section 67 – Capital gains

Point of attention

As per the provision of section 67(5)

(5) Irrespective of anything contained in sub-section (1), if any ***profits or gains arises*** *to a person from receipt of any amount, including a bonus,* ***under a unit linked insurance policy*** *to which the exemption specified at Schedule II (Table: Sl. No. 2) does not apply, then,—*
(a) such profits and gains shall be chargeable to income-tax under the head "Capital gains" and shall be deemed to be the income of such person in the tax year in which such amount was received; and
(b) the income taxable shall be calculated in such manner, as may be prescribed.

Any amount received from an unit linked insurance policy shall be chargeable under the head capital gains in the tax year in which such amount is received by the assessee and the income tax shall be calculated in such manner, as may be prescribed. **The same is prescribed under rule 49 of the Income tax rule, 2026 which replace the earlier rule 8AD of the Income Tax Rule, 1962.**

Section 67 – Capital gains

Point of attention

As per the provision of section 67(10)

(10) Irrespective of anything contained in sub-section (1), if a ***specified person*** *receives during the tax year, any money or capital asset, or both, from a* ***specified entity*** *in connection with the reconstitution of such specified entity, then,—*

(a) any profits or gains arising from such receipt shall be deemed as income of the specified entity of the tax year of such receipt by the specified person and chargeable to income-tax under the head "Capital gains"; and

(b) such profits or gains shall be determined irrespective of anything to the contrary contained in this Act as follows:—

A = B + C – D,

where,

A = income chargeable to income-tax under this sub-section as income of the specified entity under the head "Capital gains";

B = value of any money received by the specified person from the specified entity on the date of such receipt;

Section 67 – Capital gains

C = amount of fair market value of the capital asset received by the specified person from the specified entity on the date of such receipt; and

D = amount of balance in the capital account (represented in any manner) of the specified person in the books of account of the specified entity at the time of its reconstitution;

(c) for the purposes of clause (b),—

(i) if the value of "A" as computed is negative, such value shall be deemed to be zero;

(ii) the balance in the capital account of the specified person in the books of account of the specified entity shall be calculated without considering any increase in the capital account of the specified person due to revaluation of any asset or due to self-generated goodwill or any other self-generated asset; and

(d) the provisions of this sub-section shall operate in addition to the provisions of section 8 and the taxation under the said section shall be worked out independently, when a capital asset is received by a specified person from a specified entity in connection with the reconstitution of such specified entity.

Section 67 – Capital gains

For the purpose of section 67(10) “Specified entity” and “Specified person” is defined under section 8 of the Income Tax Act, 2025. Section 8(6) states that,

(6) For the purposes of this section,—
(a) ***“specified entity”*** *means a firm or other association of persons or body of individuals (not being a company or a co-operative society);*
(b) ***“specified person”*** *means a person, who is a partner of a firm or member of other association of persons or body of individuals (not being a company or a co-operative society) in any tax year;*
(c) “reconstitution of the specified entity” means, where—
(i) one or more of its partners or members, of such specified entity ceases to be partners or members; or
(ii) one or more new partners or members are admitted in such specified entity in such circumstances that one or more of the persons who were partners or members, of the specified entity, before the change, continue as partner or partners or member or members after the change; or
(iii) all the partners or members, of such specified entity continue with a change in their respective share or in the shares of some of them.

Section 67 – Capital gains

Analysis:

The provision of section 67(10) relates to chargeability of capital gains in the hands of specified entity in case of transfer of capital asset or any money to the specified person. The section provides formula for the taxability as "***A = B + C - D*".** Let us take an example to better understand the computation of the capital gains.

Mr. A (Partner) retires from ABC Industries (Specified Entity). He has balance in the capital account in the books of accounts of ABC Industries as Rs. 10,00,000. When he retires from the firm he received from the firm for an amount of Rs. 4,00,000 and Capital asset having a fair market value of Rs. 11,00,000.

Section 67 – Capital gains

In the given scenario

Particulars		Amount (Rs.)
value of any money received by the specified person from the specified entity on the date of such receipt	B	4,00,000
amount of fair market value of the capital asset received by the specified person from the specified entity on the date of such receipt	C	11,00,000
amount of balance in the capital account (represented in any manner) of the specified person in the books of account of the specified entity at the time of its reconstitution	D	10,00,000

Hence, A = income chargeable to income-tax under this sub-section as income of the specified entity under the head "Capital gains"

= 4,00,000 + 11,00,000 – 10,00,000

= Rs. 5,00,000

Rs. 5,00,000 will be taxable in the hands of specified entity.

Section 67 – Capital gains

Analysis:

Section 67(10) refers to Rule 50 of the Income-tax Rules, 2026, which replaces the earlier Rule 8AB of the Income-tax Rules, 1962. This rule deals with the attribution of income taxed under section 67(10) to capital assets for the purposes of section 72(5).

It provides that where the excess i.e. capital gains charged in the hands of specified entity, arises on account of revaluation or valuation, such income shall be attributed to the remaining capital assets. However, no such attribution is to be made where the charge does not arise from revaluation or valuation, or where it relates solely to the asset received.

Further, the new rule introduces a formula-based mechanism for computing the amount to be attributed to the remaining assets, thereby bringing greater clarity and precision to the allocation process. As the above example given, there amount attributable to the remaining assets is Rs. 5,00,000. This will be attributed to the remaining assets, in the instant case to a single asset.

Section 67 – Capital gains

As per rule 50 of the Income Tax Rule, 2026

"(2) Where the aggregate of the value of money and the fair market value of the capital asset received by the specified person from the specified entity, in excess of balance in his capital account, chargeable to tax under section 67(10) relates to revaluation of any capital asset or valuation of self-generated asset or self-generated goodwill, of the specified entity, the amount attributable to the capital asset remaining with the specified entity for purpose of section 72(5) shall be–

$A = B*(C/D).$

Where,–

A= the amount attributable to the capital asset remaining with the specified entity for purpose of section 72(5);

B= amount charged under section 67(10);

C= increase in, or recognition of, value of the asset remaining with the specified entity, because of revaluation or valuation; and

D= aggregate of increase in, or recognition of, value of all assets because of the revaluation or valuation."

Section 67 – Capital gains

As per rule 8AB of the Income Tax Rule, 1962

"(2) Where the aggregate of the value of money and the fair market value of the capital asset received by the specified person from the specified entity, in excess of the balance in his capital account, chargeable to tax under sub-section (4) of section 45,relates to revaluation of any capital asset or valuation of self-generated asset or self-generated goodwill, of the specified entity, the amount attributable to the capital asset remaining with the specified entity for purpose of clause (iii) of section 48 shall be the amount which bears to the amount charged under sub-section (4) of section 45 the same proportion as the increase in, or recognition of, value of that asset because of revaluation or valuation bears to the aggregate of increase in, or recognition of, value of all assets because of the revaluation or valuation."

Section 67 – Capital gains

Analysis:

The provision of section 67(10) refers to rule 50 of the Income Tax Rule, 2026 which replace the earlier rule 8AB of the Income Tax Rule, 1962. This rule basically says about the attribution of income charged under section 67(10) to capital assets for section 72(5), when the excess relates to revaluation or valuation; otherwise no attribution to retained assets if the charge does not stem from revaluation/valuation or relates only to the asset received.

Under Rule 50 of the Income Tax Rule'2026 requires to **declare details** of amount attributed to capital asset remaining with the specified entity in **Form no. 27** (earlier Form no. 5C) be **furnished with the return of income** of the specified entity for the tax year in which the specified person received capital asset or stock in trade or both upon dissolution or reconstruction.

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Section-68 of Income Tax Act, 2025

Capital gains on distribution of assets by companies in liquidation.

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Section 68 of the Income Tax Act’2025

The content of section 68 is as below:

68. Capital gains on distribution of assets by companies in liquidation.

(1) Irrespective of anything contained in section 67, where the assets of a company are distributed to its shareholders on its liquidation, such distribution shall not be regarded as a transfer by the company for the purposes of the said section.

(2) If a shareholder, on the liquidation of a company, receives any money or other assets from the company, then,—

(a) such shareholder shall be chargeable to income-tax under the head “Capital gains”, in respect of the money so received or the market value of the other assets on the date of distribution, as reduced by the amount assessed as dividend within the meaning of section 2(40)(c); and

(b) the sum so arrived at shall be deemed to be the full value of the consideration for the purposes of section 72.

Section 68 – Capital gains on distribution of assets by companies in liquidation.

T/F assets to Mr. A on liquidation

ABC PVT. LTD.

Mr. A Shareholder

“No Transfer” in the hands of the ABC PVT. LTD. As per section 68 of the Income Tax Act’2025

Capital gain shall be taxable in the hands of Mr. A as per section 68 of the Income Tax Act’2025.

Example: Mr. X holds shares in a company with a cost of acquisition of ₹2,00,000. On liquidation of the company, he receives ₹5,00,000, out of which assuming ₹1,00,000 is treated as dividend under section 2(40)(c).

On liquidation, distribution of assets is not treated as transfer in the hands of the company, but is **taxable in the hands of the shareholder**.
The amount received is reduced by the dividend portion, and the balance is considered as full value of consideration for capital gains.
Net consideration = ₹5,00,000 – ₹1,00,000 = ₹4,00,000
Capital Gain = ₹4,00,000 – ₹2,00,000 = ₹2,00,000

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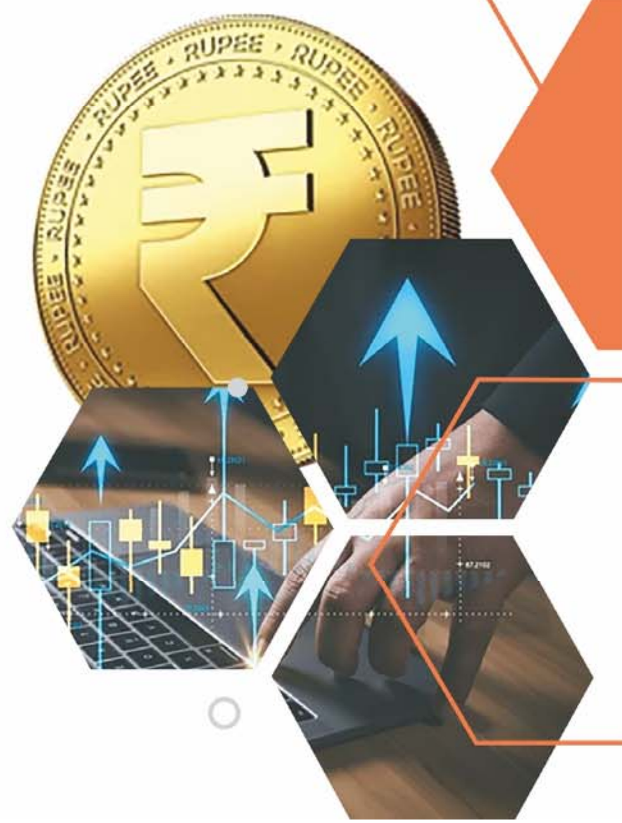
Section-69 of Income Tax Act, 2025

Capital gains on purchase by company of its own shares or other specified securities.



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Section 69 of the Income Tax Act'2025

69. Capital gains on purchase by company of its own shares or other specified securities.

(1) If a shareholder or a holder of other specified securities receives any consideration from any company for the purchase of its own shares or other specified securities held by such shareholder or holder of other specified securities, then, subject to the provisions of section 72, the difference between the cost of acquisition and the value of consideration so received shall be deemed to be the "Capital gains" arising to such shareholder or the holder of other specified securities, as the case may be, in the year in which the company purchases the shares or other specified securities.

(2) If the shareholder receives any consideration of the nature referred to in section 2(40)(f), from any company in respect of buy-back of shares, then for the purposes of this section, the value of such consideration shall be deemed to be nil.

(3) For the purposes of this section, "specified securities" shall have the same meaning as assigned to it in Explanation 1 to section 68 of the Companies Act, 2013 (18 of 2013).

Amendment in Finance Act’2026 in section 69 of the Income Tax Act’2025

Extract of the Finance Act’2026 in point no. 34

34. In section 69 of the Income-tax Act, for sub-sections (2) and (3), the following sub-sections shall be substituted, namely:– ‘(2) In respect of capital gains referred to in sub-section (1), where the shareholder or holder of other specified securities is a promoter, the aggregate income-tax payable on such capital gains shall be— (a) the income-tax payable on such capital gains in accordance with the provisions of this Act; and (b) an ***additional income tax*** *in respect of capital gains specified in column B of the Table below, computed at the rate specified in column C or column D of the said Table.*

Sl. No.	***Income***	***Rate, where the promoter is a domestic company***	***Rate, where the promoter is other than a domestic company***
A	*B*	*C*	*D*
1.	*Short-term capital gains referred to in section 196 arising from the transfer of such securities.*	*2%*	*10%*

Amendment in Finance Act'2026 in section 69 of the Income Tax Act'2025

2.	*Long-term capital gains referred to in section 197 or section 198 arising from the transfer of such securities.*	*9.5%*	*17.5%*

(3) For the purposes of this section,— (a) in the case of a company whose shares are listed on a recognised stock exchange in India, 'promoter' shall have the same meaning as assigned to it in regulation 2(k) of the Securities and Exchange Board of India (Buy-Back of Securities) Regulations, 2018 made under the Securities and Exchange Board of India Act, 1992;

(b) in any other case, "promoter" means,—
(i) a "promoter" as defined in section 2(69) of the Companies Act, 2013; or
(ii) a person who holds, directly or indirectly, more than 10% of the shareholding in the company;
(c) "specified securities" shall have the same meaning as assigned to it in Explanation 1 to section 68 of the Companies Act, 2013.'.

Analysis of the Amendment in Section 69

As per amendment in Finance Act'2026, The government has effectively scrapped the "Deemed Dividend" rule introduced a few years ago and brought back the "Capital Gains" treatment. But there's a twist. While the new rules are a blessing for the common investor, they come with a catch for company founders and promoters. By amending **Section 69** of the Income Tax Act, 2025, the government has created a two-tier system: **relief for the retail investor**, and **a higher tax wall for promoters to prevent tax avoidance**.

Rationale Behind the Amendment Introduced by the Finance Act, 2026

Under the earlier provisions, any amount received by a shareholder on buyback of shares was treated as dividend under section 2(22)(f) of the Income Tax Act'1961. This resulted in an unfavorable tax position for investors, as tax was levied on the entire amount received rather than the actual profit. At the same time, the cost of acquisition was treated as a capital loss, which in many cases could not be effectively utilized, thereby leading to a "dead loss."

The Finance Act, 2026 has addressed this issue by **reclassifying buyback proceeds as capital gains**. Consequently, shareholders are now taxed only on the real profit, i.e., the difference between the sale price and the cost of acquisition, providing significant relief to retail investors.

However, to prevent misuse of this benefit by promoters, a special provision has been introduced under section 69, **which imposes an additional tax burden on them**. As a result, while **retail investors** are taxed at the standard **long-term capital gains rate of 12.5%, promoters** are subject to a higher effective tax rate—**approximately 22% in the case of corporate promoters and around 30% for non-corporate promoters.** Thus, the new regime strikes a balance by granting relief to small investors while ensuring that promoters do not exploit buybacks for tax-efficient profit extraction.

Understanding the Amendment in Section 69: An Illustrative Analysis

Understanding the amendment related to buyback provision in Finance Act'2026 with an example:

ABC Limited announces a buyback at Rs.1,000 per share and, a Retail Investor, a Corporate Promoter and a Non-Corporate Promoter, all three bought their shares years ago for Rs.200.

Particulars	Retail Investors	Promoter (Corporate)	Promoter (Non-Corporate)
Buyback price	Rs. 2000	Rs. 2000	Rs. 2000
Less: Cost of acquisition	(Rs. 500)	(Rs. 500)	(Rs. 500)
Taxable capital gains	Rs. 1500	Rs. 1500	Rs. 1500
Effective tax rates	12.5%	22%	30%
Tax payable	Rs. 187.5	Rs. 330	Rs. 450

As we can see, on the exact same profit, the promoter pays more than double the tax. The Finance Act, 2026 strikes a difficult balance. It successfully corrects a major flaw that was hurting small investors, restoring the logical *"income minus cost"* principle. However, by slapping a surcharge on promoters, it ensures that the wealthy cannot use buybacks as a loophole to pay less tax. It's a fairer system, even if it makes life a bit more expensive for company founders.

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Section-70 of Income Tax Act, 2025

Transactions not regarded as transfer

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Analysis of Section 70 of the Income Tax Act’2025

Section 70 provides **non-recognition of "transfer" for capital gains** in the given scenarios:

- distributions on partition of HUF,
- transfers by will/gift/irrevocable trust;
- intra-group transfers between wholly-owned Indian parent and subsidiary and reciprocal transfers;
- transfers in amalgamation, demerger, banking/co-operative reorganization and sanctioned merger schemes subject to Indian residency or shareholder continuity and tax-treatment conditions;
- specified non-resident-to-non-resident transfers of bonds, GDRs, rupee-denominated bonds, derivatives and other notified securities;
- and relocations to resultant funds in IFSCs and
- succession or conversion transactions of firms, proprietorships and companies into other entities when asset continuity and ownership continuity conditions are satisfied.

Along with these any transfer, by a mutual fund unit holder of units, held by him in the consolidating scheme of mutual fund, made in consideration of the allotment to him of units in consolidated scheme of the mutual fund. Provided that the consolidation should be of two or more schemes of equity-oriented (EOF) fund or two or more schemes of a fund other than equity oriented (DOF) scheme. **For example: EOF A + EOF B = Allowed whereas EOF A + DOF B = Not allowed.**

Analysis of the Amendment in section 70 and Its Implications

In Point No. 35 of the **Finance Act 2026**, an amendment has been made to **Section 70(1)(x)** of the **Income Tax Act 2025**. The extract of the said amendment, along with the erstwhile provision and its impact, is set out below:

Extract of Section 70(1)(x) of the Income Tax Act'2025 **Pre-amendment**

"70. Transactions not regarded as transfer.

(1) The provisions of section 67 shall not apply to transfer—
(x) of Sovereign Gold Bond issued by the Reserve Bank of India under the Sovereign Gold Bond Scheme, 2015, by way of redemption, by an individual;"

Extract of Finance Act'2026 which amended section 70(1)(x) **Post-amendment**

"35. In section 70 of the Income-tax Act, in sub-section (1), for clause (x), the following clause shall be substituted, namely:—
"(x) by way of redemption, of Sovereign Gold Bond issued by the Reserve Bank of India under the Sovereign Gold Bond Scheme, 2015 ***or any subsequent Sovereign Gold Bond Scheme****, if held by an individual from the date of original issue till maturity;". way of redemption, by an individual;"*

IMPACT

The amendment ***expands the exemption*** *by including "any subsequent Sovereign Gold Bond Scheme," thereby* ***extending the benefit to all future issues of Sovereign Gold Bond*** *as well as it strengthens SGBs as a long-term, tax-efficient investment*

Section-71 of Income Tax Act, 2025

Withdrawal of exemption in certain cases

Section 71 of the Income Tax Act’2025

Section 71 withdraws exemptions and deems profits or gains from transfers of capital or intangible assets to be **Capital gains** where specified conditions fail conversion of the asset into or treatment as stock-in-trade by the transferee, cessation of whole-shareholding by the parent/holding company, or non-compliance with conditions in sections 70(zd), 70(zf), or 70(ze); such deemed gains are chargeable to tax in the tax year in which the triggering condition is not complied with and are allocated to the successor entity or relevant shareholder as specified.

The table below specifically outlines the various scenarios of withdrawal of exemption, the corresponding tax year in which such income becomes taxable, and the person liable to pay tax:

Event Triggering Withdrawal of Exemption	Time Limit for Fulfilment of Conditions	Relevant Section of the Income-tax Act, 2025	Tax Year in which Income becomes Chargeable	Person Liable to Pay Tax
(i) Transferee company treats such capital asset as stock-in-trade,	expiry of eight years from the date of such transfer	70(1)(c) and 70(1)(d)	tax year in which such transfer took place	Transferer company

Section 71 of the Income Tax Act'2025

Event Triggering Withdrawal of Exemption	Time Limit for Fulfilment of Conditions	Relevant Section of the Income-tax Act, 2025	Tax Year in which Income becomes Chargeable	Person Liable to Pay Tax
(ii) cessation of whole-shareholding by the parent/holding/nominee company				
If any of the conditions laid down in section 70(zd) or (zf) are not complied with	As per the conditions provided in section 70(zd) and 70(zf)	70(zd) and 70(zf)	tax year in which such conditions are not complied with.	successor company
If any of the conditions laid down in section 70(ze) are not complied wit	As per the conditions provided in section 70(z	70(ze)	tax year in which such conditions are not complied with.	successor limited liability partnership or the shareholder of the predecessor company

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Section-72 of Income Tax Act, 2025

Mode of computation of capital gains

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Section 72 of the Income Tax Act'2025

Section 72(1) specifies

72. Mode of computation of capital gains.

(1) Income chargeable under the head "Capital gains" shall be computed, by deducting from the full value of the consideration received or accruing as a result of the transfer of the capital asset, the following amounts:—

(a) expenditure incurred wholly and exclusively in connection with such transfer; and

(b) the cost of acquisition of the asset and the cost of any improvement thereto.

The section contains express exclusions and special rules:

- Section.72(3) excludes from deduction: (a) interest claimed under s.22(1)(b) or under Chapter VIII; and (b) securities transaction tax under Chapter VII of the Finance (No.2) Act, 2004. These amounts cannot be deducted while computing capital gains.

- Section 72(4) creates a special cost-adjustment rule for unit holders receiving non-income amounts from business trusts (Schedule V items). Such amounts are to be reduced from the cost of acquisition; if the transfer is not treated as transfer under s.70 and cost determined under s.73, amounts received before and

Section 72 of the Income Tax Act’2025

after such transaction shall be reduced from cost of acquisition.

- Section 72(5) allows a specified entity (as per s.67(10)) to claim a prescribed deduction attributable to the transfer of a capital asset - entitlement language is present (the entity "is entitled").

- Section 72(6)-(7) impose special computation rules for non-residents dealing in shares/debentures and rupee-denominated bonds - conversion into the same foreign currency used at acquisition and reconversion after computing gains; gains due to rupee appreciation on rupee bonds are to be ignored for computing full value of consideration.

Section 72(6) of the Income Tax Act'2025

For the purpose of section 72(6) which states that,

"(6) In the case of an assessee, who is ***a non-resident, capital gains arising from the transfer of a capital asset being shares in, or debentures of, an Indian company*** *(other than equity shares referred to in section 198) shall be computed—*
(a) by ***converting the cost of acquisition, expenditure incurred wholly and exclusively in connection with such transfer and the full value of the consideration received or accruing as a result of the transfer of the capital asset into the same foreign currency as was initially utilised in the purchase of the shares or debentures****; and*
(b) the ***capital gains so computed in such foreign currency shall be reconverted into Indian currency,*** *so, however, that* ***the said manner of computation*** *of capital gains shall be applicable in respect of capital gains accruing or arising from every reinvestment thereafter in, and sale of, shares in, or debentures of, an Indian company."*

Rule 52 of the Income Tax Rule'2026 (earlier Rule 115A of the Income Tax Act'1962) prescribes the manner for calculation of capital gain arising to a non-resident from the transfer of a capital asset being shares in, or debentures of, an Indian company (other than equity shares referred to in section 198).

Reference to Rule 52 of the Income Tax Rule'2026

For the purpose of Rule 52 states that,

"Rate of exchange for conversion of rupees into foreign currency and reconversion of foreign currency into rupees for purpose of computation of capital gains under section 72.– *(1) For the purpose of computing capital gains arising from the transfer of a capital asset being shares in, or debentures of, an Indian company, in the case of an assessee who is a non-resident, the rate of exchange shall be, in the circumstances referred to in* ***column B of the following table****, as per column C thereof:—*

S.No	***Circumstances***	***Rate of Exchange***
A	*B*	*C*
1.	*For converting the cost of acquisition of the capital asset*	*The average of the telegraphic transfer buying rate and telegraphic transfer selling rate of the foreign currency initially utilised in the purchase of the said asset, as on the date of its acquisition.*
2.	*For converting the expenditure incurred wholly and exclusively in connection with the transfer of the capital asset referred to in Sl.No. 1,*	*The average of the telegraphic transfer buying rate and telegraphic transfer selling rate of the foreign currency initially utilised in the purchase of the said asset, as on the date of transfer of the capital asset.*

Reference to Rule 52 of the Income Tax Rule’2026

3.	*For converting the full value of consideration received or accruing as a result of the transfer of the capital asset referred to in Sl.No. 1,*	*The average of the telegraphic transfer buying rate and telegraphic transfer selling rate of the foreign currency initially utilised in the purchase of the said asset, as on the date of transfer of the capital asset.*
4.	*For converting the capital gains computed in the foreign currency initially utilised in thepurchase of the capital asset into rupees,*	*The telegraphic transfer buying rate of such currency, as on the date of transfer of the capital asset.*

(2) For the purposes of this rule,–
(a) "telegraphic transfer buying rate" shall have the meaning assigned to it in rule 206; and
(b) "telegraphic transfer selling rate", in relation to a foreign currency, means the rate of exchange adopted by the State Bank of India constituted under the State Bank of India Act, 1955 (23 of 1955), for selling such currency where such currency is made available by that bank through telegraphic transfer.”

Understanding the computation prescribed under Rule 52 through an example

K, a non-resident Indian, remits US $40,000 to India on 16.03.2024. The amount is partly utilized on 23.03.2024 for purchasing 10,000 shares in A Ltd., an Indian company at the rate of Rs.12 per share. These shares are sold for Rs. *75* per share on 30.3.2026. The telegraphic transfer buying and selling rate of US dollars adopted by the State Bank of India is as follows:

Date	TT Buying rate	TT Selling rate	Average Rate
	1 US $	1 US $	1 US $
16.03.2024	18	20	19
23.03.2024	19	21	20
30.03.2026	74	76	75

In the above scenario,

Sale consideration (Rs. 7,50,000/75)	US $ 10,000
Less: Cost of acquisition (Rs. 1,20,000/20)	US $ 6,000
Long-Term Capital Gain	US $ 4,000
Capital Gain Converted into Rupees (Rs. 4,000 x 74)	**Rs. 2,96,000**

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Section-73 of Income Tax Act, 2025

Cost with reference to certain modes of acquisition

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Section 73 of the Income Tax Act'2025

The provision of section 73 of the Income Tax Act deals with determination of cost of acquisition in cases where the assessee acquires a capital assets through a mode not regarded as a transfer.

Normally the cost incurred by the assessee is considered as the cost of acquisition, but certain cases allow the assessee to acquire the asset without any cost. **Section 73 outlines the specific scenarios in a table form** to determine the cost of acquisition in such cases and through which taxpayers gains clarity on the computation of the capital gains.

This section deems the **cost of acquisition** for capital assets acquired by non purchase modes to be the previous owner's cost plus improvements, with tailored bases or formulas for classes such as amalgamation shares, conversions, mutual fund units, segregated portfolios, demerger allocations, deposits and receipts, trust assets, declared assets under a disclosure scheme, and gold receipts; definitions, portfolio terminology and net worth measures for computation are specified, and certain provisions are extended to cooperative bank reorganisations.

A 360-Degree Analysis of Taxability in Amalgamation of Companies

A ltd. (amalgamating company) Amalgamated with B Ltd. (amalgamated company). Both the companies are Indian Company. The amalgamation meets the definition of section 2(6) of the Income Tax Act'2025.

Taxability on Shareholder of Amalgamating Company

As per section 70(1)(f) of the Income Tax Act'2025 there is **no transfer** of **Capital Asset** in exchange of shares of the amalgamated company. Hence no capital gains will be taxable in the hands of the shareholders of A Ltd.

Further as per section 73(1) [Table sl. no. 2], cost of acquisition of shares of the amalgamated company in the hands of the shareholders is *"The cost of acquisition to him of the share or the shares in the amalgamating company"* i.e. in the given scenario the cost of shares of A ltd. Is the cost of shares of B ltd.

Comprehensive Analysis of Amalgamation of Companies from a Taxation Perspective

Taxability on Amalgamating Company

As per section 70(1)(e) of the Income Tax Act'2025 there is **no transfer** of **Capital Asset** in the case of transfer of asset by amalgamating company to amalgamated company in the arrangement of amalgamation. Hence no capital gains will be taxable in the hands of the A Ltd.

Taxability on Amalgamated Company

As per section 73(1) [Table sl. no. 1], cost of acquisition of assets of the amalgamated company in the hands of the shareholders is *"The cost for which the previous owner of the property acquired it, as increased by the cost of any improvement incurred or borne by the previous owner or the assessee."* i.e. in the given scenario the cost of to A ltd. becomes the cost of such assets to B ltd.

Comprehensive Analysis of Demerger of Companies from a Taxation Perspective

A 360-Degree Analysis of Taxability in Demerger of Companies

A ltd. (demerged company) sales it's undertaking to B Ltd. (resultant company). Both the companies are Indian Company. The demerger meets the definition of section 2(35) of the Income Tax Act'2025.

Taxability on Shareholder of Demerged Company

Further as per section 73(1) [Table sl. no. 14], cost of acquisition of shares of the **resultant company** in the hands of the shareholders is

$$\left[\frac{\text{Cost of acquisition of shares in demerged company(A)} \times \text{net book value of asset transferred in demerger(B)}}{\text{net worth of demerged company immediately before demerger (C)}}\right]$$

Comprehensive Analysis of Demerger of Companies from a Taxation Perspective

As per section 73(1) [Table sl. no. 15], cost of acquisition of shares of the **original company (A ltd.)** is *"The cost of acquisition of such original shares as reduced by the amount so arrived at under serial number 14"*.

Cost of original shares in demerged company (Pre Demerger)	XXXX
Less: Cost of originals shares in resulting company	XXXX
Cost of original shares in demerged company (Post Demerger)	**XXXX**

Taxability on Resultant Company

As per section 73(1) [Table sl. no. 1], cost of acquisition of assets of the demerged company in the hands of the resultant company is *"The cost for which the previous owner of the property acquired it, as increased by the cost of any improvement incurred or borne by the previous owner or the assessee."* i.e. in the given scenario the cost of to A ltd. becomes the cost of such assets to B ltd.

Taxability on Demerged Company

As per section 70(1)(j) of the Income Tax Act'2025 there is **no transfer** of **Capital Asset** in the case of transfer of asset by demerged company to resultant company in the arrangement of demerger. Hence no capital gains will be taxable in the hands of the A Ltd.

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Section-74 of Income Tax Act, 2025

Special provision for computation of capital gains in case of depreciable assets

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Section 74 of the Income Tax Act'2025

Section 74 treats excess consideration on transfer(s) from a depreciable block - after deducting transfer expenditure, the block's opening written down value, and the actual cost of assets acquired in the tax year - as capital gains from transfer of short-term capital assets; if all assets in a block are transferred so the **block ceases to exist**, the cost of acquisition is the opening written down value plus actual cost of assets acquired in the tax year, and income from such transfers is deemed short-term capital gains.

Let's take an example of capital gains in depreciable block of assets:

SOME OF THE ASSETS SOLD FROM THE BLOCK OF ASSETS

Particulars	**Block I**	**Block II**
Sale Price of the Asset	1,00,000	80,000
Less: expenditure incurred wholly and exclusively in connection with such transfer	Nil	Nil
Less: written down value of the block of assets at the start of the tax year	45,000	45,000
Less: actual cost of any asset falling within the block of assets acquired during the tax year	50,000	50,000
Short Term Capital Gain U/S 74	**5,000**	**Nil**

Section 74 of the Income Tax Act'2025

In Block II the full value of consideration doesn't exceed the aggregate of expenditure incurred, written down value and the cost of acquisition of assets acquired during the tax year. Hence in Block II depreciation on Rs. 15,000 {80,000-(45,000+50,000)} will be continued to charged under the Income Tax Act'2025.

THE BLOCK OF ASSETS CEASE TO EXIST

Particulars	**Block I**	**Block II**
Sale Price of the Asset	1,00,000	80,000
Less: expenditure incurred wholly and exclusively in connection with such transfer	Nil	Nil
Less: written down value of the block of assets at the start of the tax year	45,000	45,000
Less: actual cost of any asset falling within the block of assets acquired during the tax year	50,000	50,000
Short Term Capital Gain/(Loss) U/S 74	**5,000**	**(15,000)**

As per section 74(3) of the Income Tax Act'2025 where all of the assets in a block sold out the difference between the consideration and the aggregate of expenditure incurred, written down value and the cost of acquisition of assets acquired during the tax year is charged under short term capital gain.

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Section-75 of Income Tax Act, 2025

Special provision for cost of acquisition in case of depreciable asset

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Section 75 – Special provision for cost of acquisition in case of depreciable asset

"If depreciation has been obtained under section 33(2) for a capital asset in any tax year, the provisions of sections 72 and 73 shall apply subject to the modification that the written down value, as defined in section 41, of the asset, as adjusted, shall be taken as the cost of acquisition of the asset."

Analysis: This provision clarifies that where depreciation has been claimed on a capital asset under section 33(2), the computation of capital gains under sections 72 and 73 will be made by considering the **written down value (WDV) of the asset** (as per section 41) **as its cost of acquisition**.

There is no substantial change made in the provision of section 75 of the Income Tax Act, 2025 and the same is in line with the earlier provision of section 50A of the Income-tax Act, 1961.

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Section-76 of Income Tax Act, 2025

Special provision for computation of capital gains in case of Market Linked Debenture

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Section 76 – Special provision for computation of capital gains in case of Market Linked Debenture

Analysis: *Irrespective of anything contained in section 2(101) or section 72* of Income Tax Act, 2025, capital gains arising from specified asset such as **units of specified mutual funds acquired on or after 1 April 2023**, or **market linked debentures**, or **unlisted bonds or debentures** transferred, redeemed, or matured **on or after 23 July 2024** shall **always** be treated as **short-term capital gains**, irrespective of the holding period.

*"the **short-term capital gains** shall be **computed** as per the following formula:—*

X = A – B – C,

Where,
X = short-term capital gains;
A = full value of consideration received or accruing as a result of the transfer or redemption or maturity of the debenture or unit or bond;
B = the cost of acquisition of the debenture or unit or bond; and
C = the expenditure incurred wholly and exclusively in connection with such transfer or redemption or maturity."
No such formula exist in *section 50AA* of the Income Tax Act, 1961.

Section 76 – Special provision for computation of capital gains in case of Market Linked Debenture

No deduction shall be allowed for any sum paid as **securities transaction tax** (STT). For the purposes of this section, a Market Linked Debenture (MLD) refers to a debt security whose returns are linked to the performance of underlying market instruments or indices, as classified or regulated by SEBI.

A Specified Mutual Fund means a fund that invests **more than 65%** of its total proceeds in debt and money market instruments, or in units of such funds, with this threshold calculated based on the annual average of daily closing investments. The term “debt and money market instruments” includes all securities recognized as such by SEBI.

Illustration on above provision:

How is capital gain computed on redemption of a Market Linked Debenture where the cost of acquisition is ₹5,00,000, the redemption value is ₹6,20,000, and ₹5,000 is incurred as transfer expenses (includes ₹2,000 paid as STT)?

The **short-term capital gain** is computed using the formula **X = A – B – C**, i.e., ₹6,20,000 – ₹5,00,000 – ₹3,000, resulting in ₹1,17,000, and the STT of ₹2,000 is not allowed as a deduction; accordingly, ₹1,17,000 is taxable as short-term capital gains **irrespective of the period of holding**.

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Section-77 of Income Tax Act, 2025

Special provision for computation of capital gains in case of slump sale

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Section 77– Special provision for computation of capital gains in case of slump sale

Analysis: The provision states that any profits arising from a slump sale shall be taxable as **long-term capital gains** in the year of transfer **except**

*"The profits and gains arising from a slump sale involving the transfer of a capital asset, being one or more undertakings or **divisions owned** and held by an assessee for **thirty-six months or less**, immediately before the date of its transfer, shall be treated as **short-term capital gains**"*

For the purpose of computation, the **net worth** of the undertaking or division is **deemed** to be the **cost of acquisition** and **improvemen**t, and the **fair market value** of the capital assets on the date of transfer is **deemed** to be the **full value of consideration**. Further, the assessee is required to furnish a report from an **accountant in the prescribed form** before the due date specified under section 63, certifying the correctness of the net worth computation.

Note: The word "**Division owned**" has been added in the provision of New Act, 2026, As a result, the sale of one or more divisions distinct from undertakings may now fall within the ambit of slump sale, potentially possibly broadening the scope of taxable transactions under this provision.

Comparative Analysis of Rule 54 of IT Rules, 2026 vs Rule 6H of IT Rules, 1962

Rule 54 of IT Rules, 2026

In case of a slump sale under section 77(4), every assessee is required to ***submit a report*** *from an accountant as defined in section 515(3)(b), in* ***Form No. 28 before*** *the* ***specified date*** *referred to in* ***section 63.***

Rule 6H of IT Rules, 1962

The report of an accountant which is required to be furnished by every assessee ***along with*** *the* ***return of income****, in case of slump sale, under sub-section (3) of section 50B shall be in* ***Form No. 3CEA.***

Imp. Note: Rule 54 of the IT Rules, 2026 requires every assessee to furnish an accountant's report in Form No. 28 **before the specified date under section 63.**

Section 63 of the New Income-tax Act, 2025 provides the due date for tax audit report, and the tax audit report is required to be furnished **one month prior to the due date of filing** return as per section 263 of the Income Tax Act, 2025.

However, **Note 5** of Form No. 28 **states that** the form shall be filed **along with the return of income** under section 263, creating inconsistency with the provision stated in rule 54. This leads to a contradiction between the rule and the form. "It may appear to be a drafting error in the rules, which is likely to be rectified by the Government through suitable clarification or amendment".

Form No. 028 - Report of an accountant to be furnished by an assessee under section 77(4) of the Act relating to the computation of capital gains in the case of slump sale

Extract of Form 28: FMV 1

(iv)	**Fair market value (relating to the undertaking or division) of the capital assets transferred by way of slump sale (FMV1)**		
	(a)	**Book value of assets**	
		(I)	book value of all the assets (other than jewellery, artistic work, shares, securities and immovable property) as appearing in the books of accounts
		(II)	any amount of income-tax paid, if any, as reduced by the amount of income- tax refund claimed, if any
		(III)	any amount shown as asset including the unamortised amount of deferred expenditure which does not represent the value of any asset
		(IV)	To be calculated as (I)-(II)-(III)
	(b)	the price which the jewellery and artistic work would fetch if sold in the open market on the basis of the valuation report obtained from a registered valuer	

Extract of Form 28: FMV 2

(v)	Fair market value of the consideration received or accruing as a result of transfer by way of slump sale **(FMV2)**		
	(a)	value of the monetary consideration received or accruing as a result of the transfer	
	(b)	fair market value of non-monetary consideration received or accruing as a result of the transfer represented by property referred to in rule 57 [Table: Sl. No. 1 to 5] determined in the manner provided in rule 57 for the said property	
	(c)	the price which the non-monetary consideration received or accruing as a result of the transfer represented by property, other than immovable property, which is not covered in rule 57 [Table: Sl. No. 1 to 5], would fetch if sold in the open market on the basis of the valuation report obtained from a registered valuer, in respect of property	
	(d)	the value adopted or assessed or assessable by any authority of the Government for the purpose of payment of stamp duty in respect of the immovable property in case the non-monetary consideration received or accruing as a result of the transfer is represented by the immovable property.	
	(e)	FMV2 =(a)+(b)+(c)+(d)	

Imp. Note: New Form No 28 (earlier Form 3CEA) has been revised, and it **now** specifically requires **reporting** of the **computation of FMV 1 and FMV 2**. This gives the impression that the form has undergone a **notable change in structure and disclosure requirements**.

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Section-78 of Income Tax Act, 2025

Special provision for full value of consideration in certain cases

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Section 78 – Special provision for full value of consideration in certain cases

Analysis: Where a capital asset being land or building is transferred at a consideration **lower than** the stamp duty value, such **stamp duty value is deemed to be the full value of consideration** for computing capital gains under Section 72 of Income-tax Act, 2025.

However, if the agreement date and registration date is different, the stamp duty value on the **agreement date may be adopted**, provided consideration (wholly or partly) is received through **specified banking modes**.

Further, a relaxation is provided where if the **stamp duty value does not exceed 110%** of the actual consideration, the **actual consideration is deemed accepted as full value of consideration**.

Additionally, the Assessing Officer may refer the valuation to a valuation officer where the assessee claims that **stamp duty value exceeds fair market value**, subject to certain conditions.

If the valuation officer determines a value higher than the stamp duty value, the stamp duty value will still prevail as the deemed consideration.

Comparative Analysis of Rule 159 of IT Rules, 2026 vs Rule 114B of IT Rules, 1962

Rule 159 (IT Rules, 2026)	Rule 114B (IT Rules, 1962)
Rule 159: Every person is required to **quote his Permanent Account Number (PAN)** in all documents relating to transactions involving the **purchase, sale**, gift, or joint development agreement of **any immovable property**. This requirement applies where the transaction amount exceeds **₹20 lakhs**, or where the value adopted or assessed by the **stamp valuation authority** (as referred to in section 78) exceeds **₹20 lakhs.** In such cases, PAN must be furnished to the authority registering the document, including the Inspector-General appointed under section 3 of the Registration Act, 1908, or the Registrar/Sub-Registrar appointed under section 6 of that Act.	**Rule 114B**: Every person is required to quote his Permanent Account Number (PAN) in all documents relating to transactions involving purchase or sale of any immovable property. This requirement applies where the **transaction amount** exceeds **₹10 lakhs**, or where the value adopted or assessed by the **stamp valuation authority** (as referred to in section 50C) exceeds **₹10 lakhs**.

Analysis: The threshold for mandatory quoting of PAN in immovable property transactions has been **increased from ₹10 lakh to ₹20 lakh**. This change **reduces the compliance burden for smaller transactions** and aligns the reporting requirement with current market realities, where property values have significantly increased.

Comparative Analysis of Rule 237 of IT Rules, 2026 vs Rule 114E of IT Rules, 1962 on SFT REPORTING

Rule 237: The Inspector-General appointed under section 3 of the Registration Act, 1908, or the Registrar/Sub-Registrar appointed under section 6 of the said Act, is required to furnish a **Statement of Financial Transaction** (SFT) in respect of transactions involving **purchase or sale or gift or JDA of immovable property** where the consideration is ₹**45 lakh** or more, or where the value adopted by the stamp valuation authority (as referred to in section 2(105) of the Act) is ₹**45** lakh or more.	**Rule 114E**: The Inspector-General appointed under section 3 of the Registration Act, 1908, or the Registrar/Sub-Registrar appointed under section 6 of the said Act, is required to furnish a Statement of Financial Transaction (SFT) in respect of transactions involving purchase or sale of immovable property where the consideration is **₹30 lakh** or more, or where the value adopted by the stamp valuation authority (as referred to in section 50C of the Act) is ₹**30 lakh** or more.

Analysis: The threshold for furnishing statement of financial transaction by specified person in case purchase or sale of immovable property is **increased from ₹30 lakh to ₹45 lakh**. This change **reduces the compliance burden for smaller transactions** and aligns the reporting requirement with current market realities, where property values have significantly increased.

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Section-79 of Income Tax Act, 2025

Special provision for full value of consideration for transfer of share other than quoted share

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Section 79 – Special provision for full value of consideration for transfer of share other than quoted share

"(1) If the consideration received or accruing from the transfer of a capital asset, being ***share of a company other than a quoted share****, is* ***less than*** *the* ***fair market value*** *of such share determined in the manner as* ***may be prescribed****, the* ***value*** *so determined shall be* ***deemed to be the full value of consideration*** *received or accruing as a result of such transfer for the purposes of* ***section 72****.*

(2) The provisions of sub-section (1) shall not apply to any consideration received or accruing as a result of transfer by ***such class of persons*** *and subject to such conditions****, as may be prescribed****.*

(3) For the purposes of this section, the expression "quoted share" means the share quoted on any recognised stock exchange with regularity from time to time, where the quotation of such share is based on current transaction made in the ordinary course of business."

Analysis: The provision provides that if unquoted shares are transferred at a consideration lower than their fair market value (FMV), such **FMV (**determined in manner prescribed in rules**)** is **deemed to be the full value of consideration** for computing capital gains under **Section 72 of Income-tax Act, 2025**. However, specified classes of persons may be exempt from transfer of such shares.

Rule 57 : Determination of fair market value

*For the purpose of following sections referred to in column B of the Table below, the **fair market value** of the property of the nature referred to column C **shall be determined in the manner provided** in column D thereof:*

S.No	***Section***	***Nature of property***	***Manner of Determination of FMV***
A	***B***	***C***	***D***
4	*Sections 26(2)(j), 72 and 92.*	***Unquoted Equity shares***	Fair market value of unquoted equity shares = **(A + B + C + D - L) × (PV)/(PE)** **A** = Book value of all assets (other than jewellary, artistic work, shares and securities and immovable property) reduced by (Income Tax paid – Amount refund) and unamortised amount of deferred expenditure. **B** = OMV of jewellery and artistic work based on a registered value report **C** = FMV of shares and securities as per prescribed rules. **D** = SDV of immovable property as adopted by govt. authorities. **L** =Book value of liabilities shown in B/S other than (items like share capital, reserves and surplus even if negative, provision for tax other than Income tax paid reduced amount of refund claimed, provision for liabilities other ascertained liabilities and contingent liabilities etc). **PV** = Paid up value of such equity shares, **PE** = Total amount of paid-up equity share capital as shown in B/S

Rule 57 : Determination of fair market value

For the purpose of following sections referred to in column B of the Table below, the ***fair market value*** *of the property of the nature referred to column C* ***shall be determined in the manner provided*** *in column D thereof:*

S.No	***Section***	***Nature of property***	***Manner of Determination of FMV***
A	***B***	***C***	***D***
5	*Sections 26(2)(j), 72 and 92.*	*Unquoted shares and securities (****other than equity shares in a company****) which are not listed in any recognised stock exchange.*	The price it would fetch, if sold in the open market on the valuation date and the assessee may obtain a report from a merchant banker or an accountant in respect of such valuation.

Analysis: There is no substantive change in the determination of fair market value (FMV) of **unquoted equity shares** and **other unquoted shares and securities** (other than equity shares) not listed on any recognised stock exchange under new Rule 57 of IT rules, 2026 (corresponding to earlier Rule 11UAA read with Rule 11UA of IT rules, 1962). The principles and valuation approach remain consistent with the earlier framework. However, the insertion of tabular formats in the new rule enhances clarity and facilitates easier understanding of the computation mechanism and prescribed parameters.

Rule 58 : Prescribed class of person for the purpose of section 92(3)(i) and section 79 of Income Tax Rules, 2026

Prescribed class of persons for the purpose of section 92(3)(i) and ***section 79****.– (1) The provisions of section 92(2)(m) shall* ***not apply to class of persons*** *referred to in column B of the following Table, where such persons receive assets in the nature referred to in column C,* ***subject to*** *satisfaction of the* ***conditions*** *specified in column D thereof:*

S.No	Class of Person	Nature of Asset	Conditions
A	**B**	**C**	**D**
2	Shareholder	*Any movable property, being Unquoted shares, of a company or its subsidiary or the subsidiary of such subsidiary*	*(a) Where the Tribunal, on an application moved by the Central Government under section 241 of the Companies Act, 2013, has suspended the Board of Directors of such company and has appointed new directors nominated by the Central Government under section 242 of the said Act; and* *(b) Where share of the* ***company or its subsidiary or the subsidiary of such subsidiary*** *has been received by the shareholder pursuant to a resolution plan approved by the Tribunal under section 242 of the Companies Act, 2013 after affording a reasonable opportunity of being heard to the jurisdictional Principal Commissioner or Commissioner*

Rule 58 : Prescribed class of person for the purpose of section 92(3)(i) and section 79 of Income Tax Rules, 2026

Analysis: There is no substantive change in Rule 58 (corresponding to earlier Rule 11UAD of IT rules, 1962) concerning the prescribed class of persons for the purposes of Section 92(3)(i) of Income-tax Act, 2025 and Section 79 of Income-tax Act, 2025 under the Income-tax Rules, 2026. The scope, nature, conditions, and applicability of the provision remain largely unchanged.

However, the introduction of a tabular format in the new rule enhances clarity and improves understanding by presenting the prescribed categories and conditions in a more structured and accessible manner.

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Section-80 of Income Tax Act, 2025

Fair market value deemed to be full value of consideration in certain cases

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Section 80 – Fair market value deemed to be full value of consideration in certain cases

“If the consideration received or accruing from the transfer of a capital asset is not ascertainable or cannot be determined, its fair market value on the date of transfer shall be deemed to be the full value of consideration received or accruing as a result of such transfer for the purposes of computing income under the head “Capital gains”.

Analysis: This provision ensures that capital gains are computed even when the actual consideration for a transfer cannot be ascertained or determined.

In such cases, the fair market value (FMV) of the asset on the date of transfer is deemed to be the full value of consideration for the purpose of computing capital gains. This prevents tax avoidance by ensuring that taxpayers cannot escape taxation by understating or not specifying the consideration.

(Eg. Exchange, barter, Conversion into stock in trade)

Thus, **FMV** acts as a **substitute benchmark** to determine taxable income where the actual sale price is **uncertain or indeterminable**.

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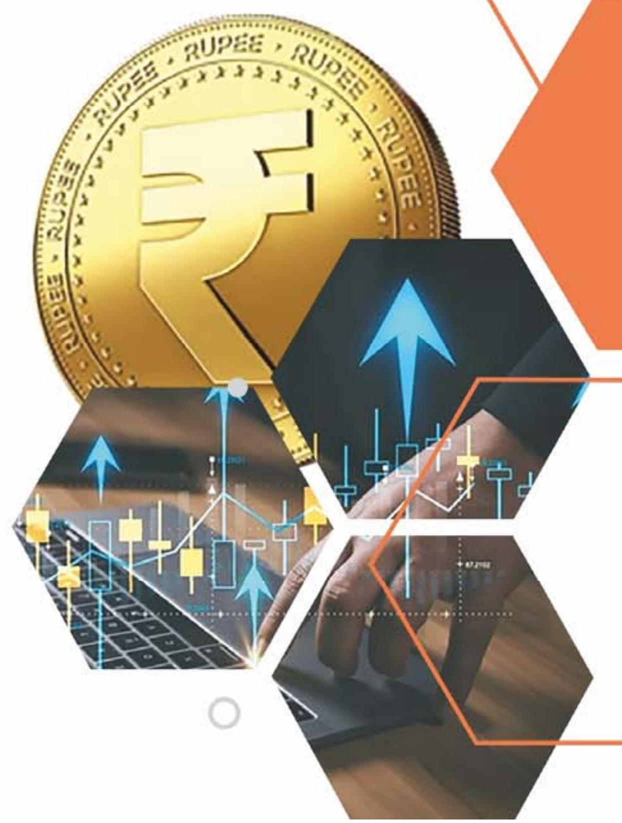
Section-81 of Income Tax Act, 2025

Advance money received



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Section 81 – Advance money received

"Where any capital asset was, on any previous occasion, the subject of negotiations for its transfer, any advance or other money received and retained by the assessee in respect of such negotiations-

(a) shall be deducted from the cost for which the asset was acquired or the written down value or the fair market value, as the case may be, in computing the cost of acquisition;

(b) shall not be deducted from the said cost, where such advance or other money has been included in the total income of the assessee for any tax year as per the provisions of section 92(2)(h) of this Act or section 56(2)(ix) of the Income-tax Act, 1961 (43 of 1961)".

Analysis: This provision deals with the treatment of advance money received in respect of earlier negotiations for transfer of a capital asset. Generally, any advance or other money received and retained by the assessee in connection with such negotiations is required to be deducted from the cost of acquisition, written down value, or fair market value while computing capital gains. (Eg- Advance money forfeited)

However, this adjustment is not required if such advance has already been included in the assessee total income under the specified provisions (i.e., section 92(2)(h) or 56(2)(ix)), thereby avoiding double taxation.

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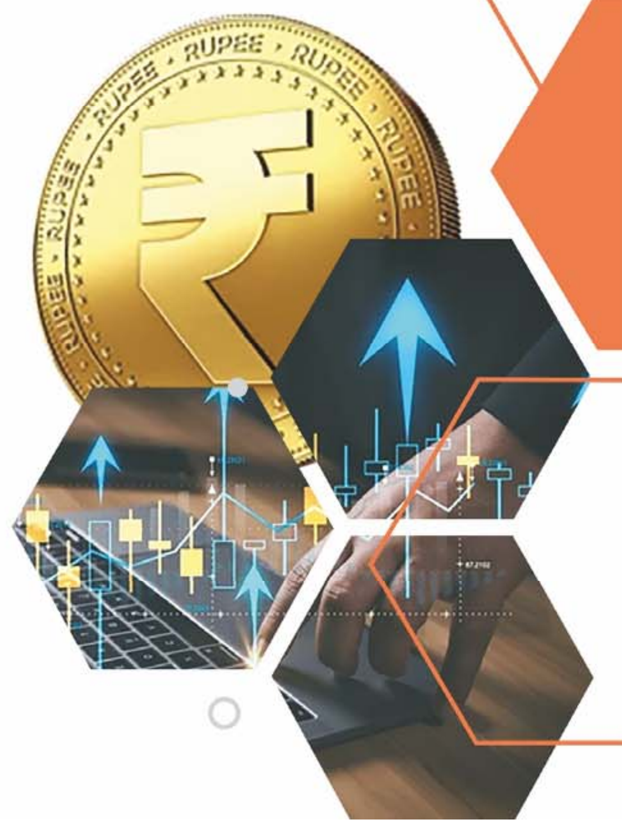
Section-82 of Income Tax Act, 2025

Profit on sale of property used for residence



Section 82 – Profit on sale of property used for residence

Where assessee being an **individual or HUF** earns **long-term capital gains** from the transfer of a residential house property, and invests such gains in **purchasing one residential house** in India within **one year before** or **two years** after the date of transfer, or **constructs** a house within three years (new asset),

"then, instead of the capital gain being charged to income-tax as income of the tax year in which the transfer took place, it shall be dealt with as follows:—

(i) if the capital gains exceeds the cost of the new asset, such excess shall be charged under section 67, and for computing capital gains arising from the transfer of the new asset within three years of its purchase or construction, the cost shall be nil; or

(ii) if the capital gains is equal to or less than the cost of the new asset, no capital gains shall be charged under section 67 and for computing capital gains from the transfer of the new asset within three years of its purchase or construction, the cost shall be reduced by the amount of the capital gains."

Section 82 – Profit on sale of property used for residence

If the capital gains are not utilised for the purchase or construction of the new asset before filing the return, the unutilised amount shall be deposited in a specified bank or institution under the scheme notified by CG before the due date, and such amount together with the utilised amount is deemed to be the cost of the new asset, and the such deposit shall be accomplished by the proof of deposit;

However, if such deposit is not fully utilised within three years, the unutilised portion becomes **taxable** in the year in which the **three-year period expires**.

Further, where the capital gains do not exceed ₹2 crore, the assessee has a **one-time option** to **invest in two residential houses** in India **instead of one, and once exercised**, such option cannot be availed again in same or any other tax year.

Furthermore, For the **purpose of exemption under section 82(1)**, the maximum cost of new asset and capital gains eligible for deposit is capped at ₹**10 crores**.

Section 82 – Profit on sale of property used for residence

<u>Illustrative Example on Section 82 of the Income Tax Act, 2025 is given below:</u>

Question: Mr. Ramu purchased a residential house for ₹20,00,000. During the Tax Year 2026–27, he sold the house for ₹1,20,00,000. He invested ₹55,00,000 in a new residential house and deposited the balance ₹45,00,000 in the Capital Gains Account Scheme (CGAS) within the due date of filing the return.

Solution:

Particulars		**Amount (₹)**
Sale Consideration		1,20,00,000
Less: Cost of Acquisition		(20,00,000)
Long-Term Capital Gain (LTCG)	**A**	**1,00,00,000**
Investment in New House **(Exempt u/s 82)**		55,00,000
Amount Deposited in CGAS **(Exempt u/s 82)**		45,00,000
Total Exemption under Section 54	**B**	**1,00,00,000**
Taxable LTCG	**(A-B)**	**NIL**

Note: In the given example, Capital Gain is fully exempt due to the exemption under Sec 82 of ITA'25.

Section 82 – Profit on sale of property used for residence

Judicial Pronouncement on Section 82 of ITA’25 (Sec 54 of ITA’61)

1. Whether the assessee was entitled to claim exemption under section 54, where a new residential flat was purchased and possession obtained within the prescribed period though **part of the acquisition** was **financed by a bank loan**?

Ans: It is settled in the law that section 54 (ITA’61) of the Act, requires purchase or construction of a house property for the assessee's residence within the specified period in order to avail the benefit of deduction. However, the law does not provide for how the funding of the said house property should be done.

Reliance is placed on *Amit Parekh versus ITO (2018).* Accordingly, the impugned order falls squarely within the ambit of Section 82 of the Income Tax Act, 2025.

Cautious Approach:

Deduction under section 54 is available when an assessee **satisfies** the **two essential condition**:

(i) Purchasing or constructing of a new house property for residence.

(ii) Such purchase or construction of house shall be made in stipulated time prescribed in section 54.

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Section-83 of Income Tax Act, 2025

Capital gains on transfer of land used for agricultural purposes not to be charged in certain cases

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Section 83 – Capital gains on transfer of land used for agricultural purposes not to be charged in certain cases

Where assessee being an **individual or HUF** earns **capital gains** from the transfer of **agricultural land** that was **used** for agricultural purposes for at least two years prior to the transfer, and **reinvests** the amount in purchasing another **agricultural land within two years (new asset),**

"then, instead of the capital gains being charged to income-tax as income of the tax year in which the transfer took place, it shall be dealt with as follows:—

(i) if the capital gains exceed the cost of the new asset, such excess shall be charged under section 67, and for computing any capital gains arising from the ***transfer of the new asset*** *within three years of its purchase, the cost shall be nil; or*

(ii) if the capital gains is equal to or less than the cost of the new asset, no capital gains shall be charged under section 67, and for computing any capital gains arising from the transfer of the new asset within three years of its purchase, the cost shall be reduced by the amount of the capital gains."

Section 83 – Capital gains on transfer of land used for agricultural purposes not to be charged in certain cases

In cases where the capital gain is not utilised to purchase the new asset before filing the return, the unutilised amount shall be deposited in a specified bank or institution and utilised as per scheme notified by CG and such deposit shall be made before the due date, and such deposited amount is deemed to be the cost of the new asset and return shall be accomplished by the proof of deposit.

If the amount deposited is not utilised within two years, it becomes taxable in the year in which the two-year period expires.

Strategic Approach: A tax minimisation strategy under this provision would be to ensure timely **reinvestment of the capital gains in eligible agricultural land** within the prescribed two-year period or, alternatively, deposit the unutilised amount in the notified scheme before the due date of return to retain exemption.

Further, planning the **investment amount** so that the cost of the new asset is **equal to or higher than** the capital gains can help **defer the entire tax liability** and **avoid immediate taxation under Section 67** of the Income-tax Act, 2025.

Section 83 – Capital gains on transfer of land used for agricultural purposes not to be charged in certain cases

Litigation Implications of Section 83

1. Whether Section 54B applies where the asset transferred is a short-term capital asset?

Ans: It is settled in the law that, section 54B of the Act, merely refers to transfer of "capital asset" which can either be short-term or long-term capital asset.

2. Whether the assessee is entitled to exemption under Section 54B in respect of the new agricultural property purchased partly in the name of his wife or close relatives?

Ans: It was also held that an exemption under section 54B of the Act, cannot be claimed if the subsequent property (or part thereof) is purchased by a person other than the assessee, including a close relative such as the wife, son, daughter etc.

Reliance is placed on *CIT, Faridabad Versus Shri Dinesh Verma*. Accordingly, the impugned order falls squarely within the ambit of Section 83 of the Income Tax Act, 2025.

Section 83 – Capital gains on transfer of land used for agricultural purposes not to be charged in certain cases

Cautious Approach:

Deduction under section 54 B is available only when the assessee who transfer the agricultural land and subsequently re-purchase another agricultural land in his **own name**. Assessee must be one and the same at the time of sell and subsequent re-purchase of agricultural land.

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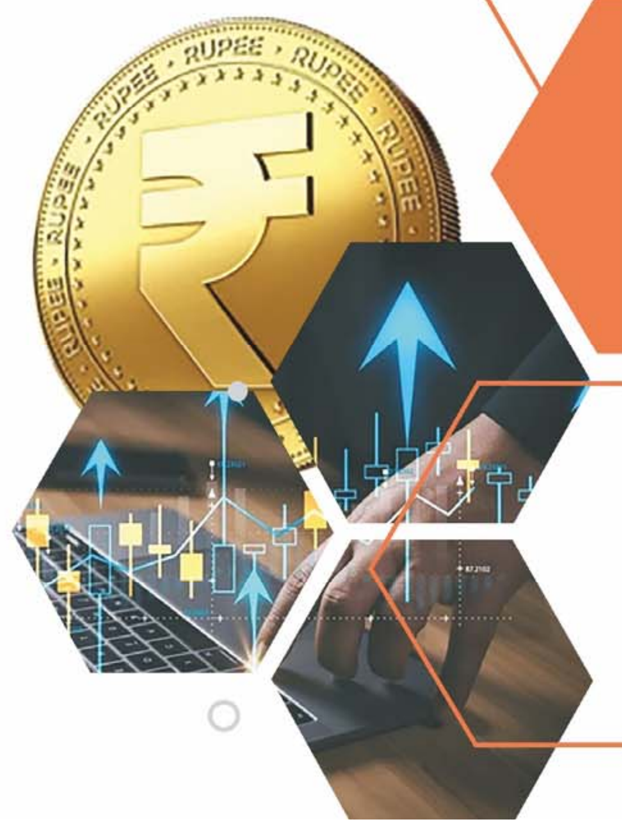
Section-84 of Income Tax Act, 2025

Capital gains on compulsory acquisition of lands and buildings not to be charged in certain cases



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Section 84 – Capital gains on compulsory acquisition of lands and buildings not to be charged in certain cases

Where an assessee earns capital gains from the compulsory acquisition of land, building, or any rights therein **forming part of an industrial undertaking**, which was used for business purposes in the two years preceding the transfer, and reinvests such gains within **three years** in purchasing or constructing another land or building for shifting, re-establishing, or **setting up another industrial undertaking** (new asset),

"then, instead of the capital gain being charged to income-tax as income of the tax year in which the transfer took place, it shall be dealt with as follows:—

(i) if the capital gains exceeds the cost of new asset, such excess shall be charged under section 67, and for computing any capital gains arising from the transfer of the new asset within three years of its purchase or construction, the cost shall be nil; or

(ii) if the capital gains is equal to or less than the cost of new asset, no capital gains shall be charged under section 67 and for computing capital gains from the transfer of the new asset within three years of its purchase or construction, the cost shall be reduced by the amount of the capital gains."

Section 84 – Capital gains on compulsory acquisition of lands and buildings not to be charged in certain cases

If the capital gains are not utilised by the assessee for purchase of new asset before filing of the return, the unutilised amount shall be deposited in a specified bank or institution and utilised as per scheme notified by the CG, such deposit shall be made before the due date of filing of the return, and such deposited amount together with the utilised portion is deemed to be the cost of the new asset.

If the deposited amount is not utilised within three years, the unutilised portion becomes taxable in the year in which the three-year period expires, and the assessee is allowed to withdraw such amount as per the prescribed scheme.

Section 84 – Capital gains on compulsory acquisition of lands and buildings not to be charged in certain cases

Litigation Implications of Section 84

1. Whether the benefit of section 54D (**ITA'61**) is available for industrial undertaking to be engaged in manufacture or production ?

Ans: It is settled in the law that, section 54D must be construed liberally; an 'industrial undertaking' is to be given a wide/popular meaning and need not be a particular type of manufacturing unit to attract the exemption. The court emphasised that 'industrial undertaking' should be read broadly to include projects or businesses maintained for carrying on business activities. Authorities where non-manufacturing businesses were held to qualify under section 54D were noted, supporting a liberal construction that focuses on the nature of the organised business activity rather than a narrow manufacturing-only requirement.

Reliance is placed on *CIT, Versus Hemsons Industries (2001).* Accordingly, the impugned order falls squarely within the ambit of Section 84 of the Income Tax Act, 2025.

Section 84 – Capital gains on compulsory acquisition of lands and buildings not to be charged in certain cases

Cautious Approach:

Section 54D requires that the 'industrial undertaking' is to be given a **wide meaning**, **manufacturing per se** is **not an essential restriction** for claiming the exemption. The **assessee should ensure** that the activity has sufficient nexus with **industrial operations** (may or may not be manufacturing) to minimize potential litigation.

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Section-85 of Income Tax Act, 2025

Capital gains not to be charged on investment in certain bonds

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Section 85 – Capital gains not to be charged on investment in certain bonds

(1) Where an assessee has—

***long-term capital gains** arising from the transfer of land or building, or both, (original asset); and*

(b) within six months after the date of such transfer, invested whole or part of the capital gains in a long-term specified asset (new asset),

then, the capital gains shall be dealt with as follows:—

*if the **capital gains exceed the investment** in the new asset, the **amount of capital gains as exceeds** such investment shall be charged under section 67; or* **(Refer Note 1)**

(ii) if the capital gains are equal to or less than the investment in the new asset, the whole of such capital gains shall not be charged under section 67.

Section 85 – Capital gains not to be charged on investment in certain bonds

For the purpose of sub section (1), Investment in long-term specified assets for claiming exemption is restricted to a **maximum of ₹50 lakh**, whether made in a single tax year or spread across the year of transfer and the subsequent tax year.

If the specified asset (such as notified bonds) is transferred, converted into money, or even used as security or advance for a loan **within five years** of its acquisition, the **capital gains earlier exempted** shall become **taxable as long-term capital gains** in the year of such transfer, conversion, or borrowing.

Further, no deduction under any other provision (such as section 123) is allowed in respect of the same investment.

For this purpose, long-term specified assets refer to notified bonds redeemable after five years and issued by entities like NHAI, RECL, or other bonds as may be notified by the Central Government.

Section 85 – Capital gains not to be charged on investment in certain bonds

Notes:1 Illustration on Exemption of Capital Gains on investment in certain bonds

Comparison working under Section 54EC and Section 85		
Particulars	**Section 54EC (Old Act'1961)**	**Section 85 (New Act'2025)**
Capital Gain	₹ 40,00,000	₹ 40,00,000
Investment in Bonds	₹ 30,00,000	₹ 30,00,000
Method Used	**Proportionate Exemption**	**Direct Taxation**
Exemption Calculation	40L × (30L/40L) = ₹30L	Exemption = Investment = ₹30L
Taxable Capital Gain	**₹ 10,00,000** (₹40,00,000 - ₹ 30,00,000)	**₹ 10,00,000** (excess amount)
Conclusion	Same Result	Same Result

Strategic Approach: A **possible tax minimization strategy** is to invest the long-term capital gains arising from transfer of land or building in specified bonds (such as NHAI, RECL etc) under Section 85 of the Income-tax Act, 2025 within the prescribed time limit, thereby claiming exemption of capital gains to the extent of such investment (max 50L).

Note: The capital gain arising under section 85 remain same as arouse in section 54EC of ITA'61, however the language has been simplified under the New Act, 2025.

Section 85 – Capital gains not to be charged on investment in certain bonds

Point of Attention

1. Restricting on Capital Gain Exemption to LTCG under section 85 ITA’25:

Section 54EC of the Income Tax Act, 1961 provides **exemption on capital gains** arising from the transfer of a **long-term capital asset**, if such gains are invested in specified bonds, subject to conditions.

Extract of Section 54EC of Income Tax Act, 1961 is given below:

*“Where the **capital gain** arises from the transfer of a **long-term capital asset**, being land or building or both, (the capital asset so transferred being hereafter in this section referred to as the original asset) and the assessee has, at any time within a period of six months after the date of such transfer, invested the whole or any part of capital gains in the long-term specified asset, the capital gain shall be dealt with in accordance with the following provisions of this section, that is to say,”*

Section 85 – Capital gains not to be charged on investment in certain bonds

Judicial precedents have clarified that this **exemption is available even in cases** where other provisions of the Act deem the **gains to be short-term**, since the underlying asset remains long-term in nature.

The Hon'ble Bombay High court in the case of ***The Commissioner of Income-Tax vs Ace Builders Pvt. Ltd on 7 March, 2005*** clarified that this fiction applies only for the purpose of computing capital gains, and does not affect eligibility for exemptions.

The analogy behind the case if give below: -

"There is no dispute that the asset transferred is a long-term capital asset and that if the gain is to be taxed, it will be taxed as short-term capital gains but if the assessee invests the gain in any specified securities, then, the assessee is exempt from paying the capital gains tax. section 54EC of the I.T. Act should not be allowed to be clouded by the wording or fiction in section 50 which is employed or created for a limited purpose."

Section 85 – Capital gains not to be charged on investment in certain bonds

Section 85 of the Income Tax Act, 2025, however, **modifies this framework** by **restricting** the benefit specifically to **investments of long-term capital gains**. This drafting shift potentially narrows the exemption, as **any gain treated as short-term** under deeming provisions would **fall outside its scope**.

Consequently, situations such as transfers of depreciable assets, where the ITA'61 permitted exemption under Section 54EC, may **no longer qualify under the ITA 2025**. However, the issue still may be litigated in absence of a clarification going forward.

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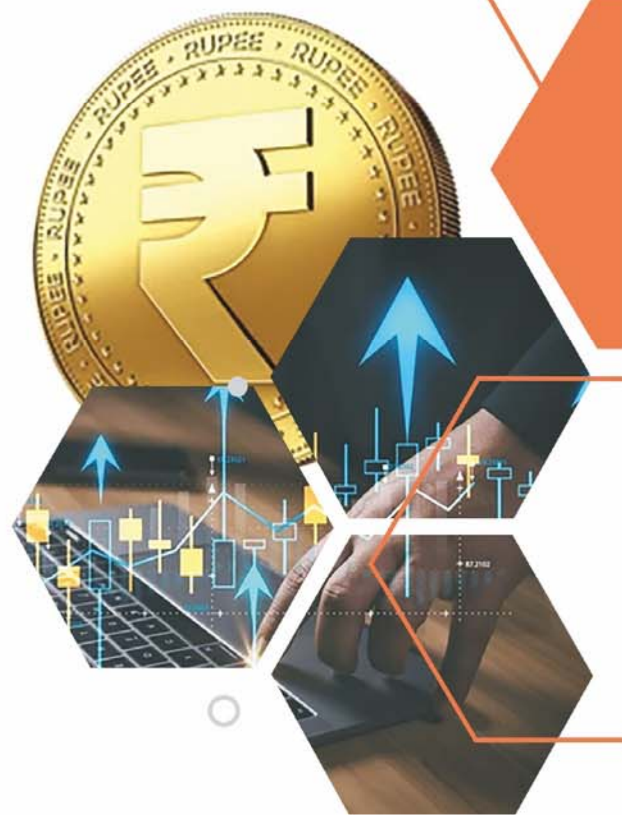
Section-86 of Income Tax Act, 2025

Capital gains on transfer of certain capital assets not to be charged in case of investment in residential house



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Section 86 – Capital gains on transfer of certain capital assets not to be charged in case of investment in residential house

Where the assessee, being an Individual or HUF to claim exemption from long-term capital gains arising from transfer of any asset (other than a residential house), if the net consideration is invested in one residential house in India within the prescribed time (purchase within 1 year before or 2 years after, or construction within 3 years).

then, the capital gains shall be dealt with as follows:—

(i) if the net consideration is more than the cost of the new asset, so much of the capital gains as bears to the whole of the capital gains, the ***same proportion as the cost of the new asset bears to the net consideration****, shall not be charged under section 67; or*

(ii) if the net consideration is equal to or less than the cost of the new asset, no capital gains shall be charged under section 67.

Section 86 – Capital gains on transfer of certain capital assets not to be charged in case of investment in residential house

If the net consideration is not utilized by the assesssee for purchase or construction of new asset before filing the return, then it shall be deposited in a specified bank or institution and utilized as per the scheme notified by CG on or before the due date of filing return, and such deposited amount along with the utilized amount for purchase or construction of new asset shall be deemed to be treated as cost of the new asset.

However, *If the amount deposited under sub-section (2) is not wholly or partly utilised for purchasing or constructing the new asset within the period specified in sub-section (1), then,—*

(a) the amount determined as per the ***following formula*** *shall be charged under section 67 as income of the tax year in which three years from the date of the transfer of the original asset expires:—*

X—Y,

where—

X = the capital gains not charged under section 67 as per sub-section (1).

Section 86 – Capital gains on transfer of certain capital assets not to be charged in case of investment in residential house

Y = the capital gains that would not have been charged under section 67, if the cost of the new asset had been taken to be the amount actually utilised for purchase or construction of the new asset;

(b) the assessee shall be entitled to withdraw such unutilised amount in accordance with the scheme referred to in sub-section (2).

The exemption is subject to conditions such as not owning more than one residential house (other than the new one) and not acquiring another house within the specified period; and income from such residential house (other than the new one) is chargeable under the head *income from house property* otherwise, the exemption is withdrawn.

Further, if the new asset is transferred within three years, the earlier exempted gains become taxable. The benefit is also restricted to a maximum of ₹10 crore for both investment and net consideration.

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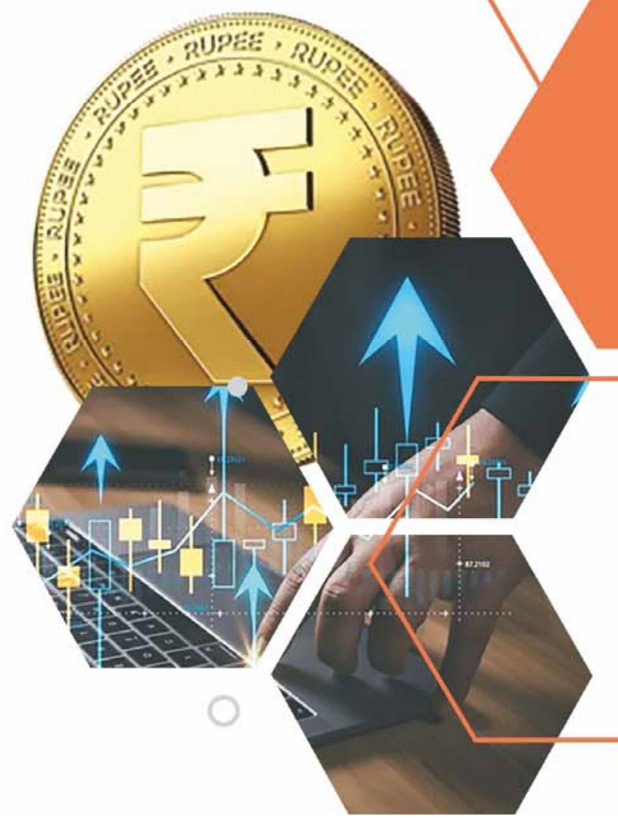
Section-87 of Income Tax Act, 2025

Exemption of capital gains on transfer of assets in cases of shifting of industrial undertaking from urban area



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Section 87 – Exemption of capital gains on transfer of assets in cases of shifting of industrial undertaking from urban area

Where an assessee transfers capital assets such as plant, machinery, land, building, or rights in land or building, used for the business of an industrial undertaking located in an urban area, in the course of shifting such undertaking to any area (**other than urban area**) and within one year before or three years after the date of transfer, invest in specified purposes such as purchase of new plant or machinery, acquisition or construction of land or building in the new area, shifting of the undertaking, or incurring other expenses as specified in a scheme notified by the CG.

"then, instead of the capital gains being charged to income-tax as income of the tax year in which the transfer took place, it shall be dealt with as follows:—

*(A) if the **cost and expenses** incurred on all or any of the purposes mentioned in sub-clauses (i) to (iv) referred to as "new asset",—*

(I) is less than the capital gains, the difference shall be charged under section 67 as the income of the tax year; or

(II) is equal to or more than the capital gain, no capital gain shall be charged under section 67; and

*(B) for computing **any capital gain** arising from **transfer of the new asset** within **three years** of its being purchased, acquired, constructed or transferred, the **cost** shall be **nil** in case of **sub-clause(A)(II)** or shall be **reduced** by the amount of the **capital gain** in case of **sub-clause (A)(I)**."*

Section 87 – Exemption of capital gains on transfer of assets in cases of shifting of industrial undertaking from urban area

If the amount of capital gain is not utilized by the assesssee for new asset before one year of transfer or due date of filing the return, then it shall be deposited in a specified bank or institution and utilized as per the scheme notified by CG on or before the due date of filing return, and such deposited amount along with the utilized amount for new asset shall be deemed to be treated as cost of the new asset.

If the amount deposited is not wholly or partly utilised within the prescribed period of three years, the unutilised portion becomes taxable as income in the year in which the three-year period expires.

The assessee is allowed to withdraw the unutilised amount in accordance with the prescribed scheme.

“Urban area” refers to an area within a municipal corporation or municipality, specifically notified by the Central Government, considering factors like population, industrial concentration, and planning requirements.

Comparative Analysis of Extract of Section 87 of ITA'25 vs Section 54G of ITA'61

87- *"instead of the capital gains being charged to income-tax as income of the tax year in which the transfer took place, it shall be dealt with as follows:—*

(A) if the ***cost and expenses*** *incurred on all or any of the purposes mentioned in sub-clauses (i) to (iv) referred to as "new asset",—*

(I) *is* ***less than*** *the* ***capital gains****, the* ***difference*** *shall be* ***charged under section 67*** *as the income of the tax year; or*

(II) is equal to or more than the capital gain, no capital gain shall be charged under section 67; and

(B) for computing ***any capital gain*** *arising from* ***transfer*** *of the* ***new asset within three years*** *of its being purchased, acquired, constructed or transferred, the cost shall be nil in case of sub-clause(A)(II) or shall be* ***reduced*** *by the amount of the* ***capital gain*** *in case of* ***sub-clause (A)(I)****."*

54G – "*instead of the capital gain being charged to income-tax as income of the previous year in which the transfer took place, it shall be dealt with in accordance with the following provisions of this section, that is to say,-*

(i) if the amount of the ***capital gain*** *is* ***greater than*** *the* ***cost and expenses*** *incurred in relation to all or any of the purposes mentioned in clauses (a) to (d) (such cost and expenses being hereafter in this section referred to as the new asset), the difference between the amount of the capital gain and the cost of the new asset shall be charged under section 45 as the income of the previous year; and for the purpose of computing in respect of the* ***new asset any capital gain*** *arising from its* ***transfer*** *within a period of* ***three years*** *of its being purchased, acquired, constructed or transferred, as the case may be, the* ***cost shall be nil"***

Comparative Analysis of Extract of Section 87 of ITA'25 vs Section 54G of ITA'61

87*- instead of the capital gains being charged to income-tax as income of the tax year in which the transfer took place, it shall be dealt with as follows:—*

(A) if the ***cost and expenses*** *incurred on all or any of the purposes mentioned in sub-clauses (i) to (iv) referred to as "new asset",—*

(I) is less than the capital gains, the difference shall be charged under section 67 as the income of the tax year; or

(II) *is* ***equal to or more*** *than the* ***capital gain****, no capital gain shall be charged under section 67; and*

(B) for computing ***any capital gain*** *arising from* ***transfer*** *of the* ***new asset within three years*** *of its being purchased, acquired, constructed or transferred, the* ***cost*** *shall be* ***nil*** *in case of* ***sub-clause(A)(II)*** *or shall be reduced by the amount of the capital gain in case of sub-clause (A)(I).*

54G *- instead of the capital gain being charged to income-tax as income of the previous year in which the transfer took place, it shall be dealt with in accordance with the following provisions of this section, that is to say,-*

(ii) if the amount of the ***capital gain*** *is* ***equal to, or less than****, the cost of the* ***new asset****, the capital gain shall not be charged under section 45; and for the purpose of computing in respect of the* ***new asset*** *any* ***capital gain*** *arising from its* ***transfer*** *within a* ***period of three years*** *of its being purchased, acquired, constructed or transferred, as the case may be, the* ***cost*** *shall be* ***reduced*** *by the amount of the capital gain.*

Section 87 – Exemption of capital gains on transfer of assets in cases of shifting of industrial undertaking from urban area

Point of Attention

The above comparison highlights the difference in provisions relating to exemption of capital gains on shifting of an industrial undertaking from an urban area under the New Act, 2025 vis-à-vis the Old Act, 1961.

- Under the New Act, where the **capital gain exceeds the cost** of the **new asset** and such new asset is transferred within three years, the **cost of the new asset** is **reduced** by the amount of **capital gain previously exempted**.

In contrast, under the Old Act, in similar circumstances, the **cost of the new asset** was deemed to be **nil**, resulting in a **higher capital gain on subsequent transfer**.

This change reflects a significant shift in tax treatment. While the Old Act imposed a more stringent consequence by deeming the cost as nil, the New Act provides partial relief by only reducing the cost to the extent of exempted capital gains.

Section 87 – Exemption of capital gains on transfer of assets in cases of shifting of industrial undertaking from urban area

Point of Attention

The above comparison highlights the difference in provisions relating to exemption of capital gains on shifting of an industrial undertaking from an urban area under the New Act, 2025 vis-à-vis the Old Act, 1961.

- Under the New Act, where the **capital gain is equal or lower than the cost** of the **new asset** and such new asset is transferred within three years, the **cost of the new asset** shall be **Nil.**

In contrast, under the Old Act, in similar circumstances, the **cost of the new asset** was reduced by the amount of capital gains previously exempted resulting in **lower capital gain on subsequent transfer**.

This represents a significant shift in tax treatment. While the Old Act provided a relatively less stringent approach by allowing partial cost recognition, the New Act adopts a stricter stance by eliminating the cost entirely, thereby resulting in higher taxable capital gains on subsequent transfer.

Circular No. 743: Taxability of unutilised deposit under the Capital Gains Accounts Scheme, 1988 in the hands of the legal heirs of the assessee

1. *Under sections 54, 54B, 54D, 54F and 54G of the Income-tax Act, 1961, capital gain is not chargeable to tax if the amount of capital gain or net consideration has been utilised for specified purposes by the assessee within the stipulated period laid down in the relevant section. These provisions also provide for the deposit in specified Banks, etc., of the amount of capital gain which is not utilised by the assessee for the acquisition of new assets before the date of furnishing the return of income under section 139(1). The amount of capital gain already utilised for the acquisition/construction of new asset together with amount deposited is deemed to be the cost of new asset and, consequently, this amount is not chargeable to capital gain in the year of transfer of asset.* ***The provisions of sections 54, 54B, 54D, 54F and 54G*** *further provide that if the amount deposited is* ***not utilised*** *wholly or partly for the prescribed purposes, within the period specified, the amount not so utilised shall be charged under section 45 as the income of the financial year in which the period of two/three years (as prescribed in the relevant section) from the date of transfer of the original asset expires.*

2. *A question has been raised regarding the* ***taxability of the unutilised deposit*** *amount in the case of an individual* ***who dies*** *before the expiry of the stipulated period.*

3. *The matter has been considered by the Board and it is clarified that in such cases the said amount cannot be taxed in the hands of the deceased. This* ***amount is not taxable*** *in the* ***hands of legal heirs*** *also as the unutilised portion of the deposit does not partake the character of income in their hands but is only a part of the estate devolving upon them.*

Circular No. 743: Taxability of unutilised deposit under the Capital Gains Accounts Scheme, 1988 in the hands of the legal heirs of the assessee

Analysis: Where an assessee deposits capital gains under the specified exemption provisions but dies before the expiry of the prescribed utilisation period, the unutilised amount **cannot be taxed** either in the hands of the deceased or the legal heirs, as the condition for taxation (non-utilisation within the stipulated period) is never triggered during the lifetime of the assessee and the **amount received by the heirs is merely part of the inherited estate, not being as income.**

Since the Income-tax Act, 2025 follows a similar framework for capital gains exemptions and does not provide any contrary provision, this principle-based clarification should equally apply under the new law as well.

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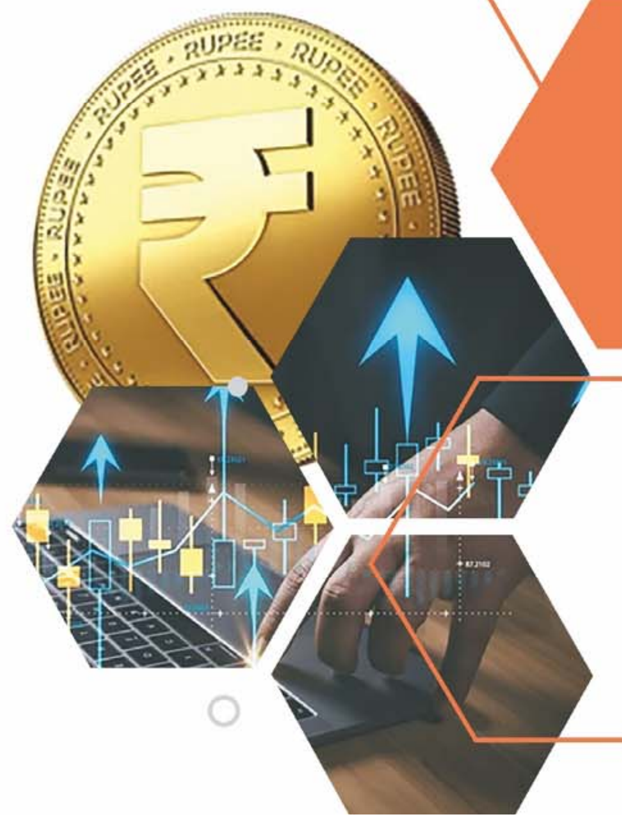
Section-88 of Income Tax Act, 2025

Exemption of capital gains on transfer of assets in cases of shifting of industrial undertaking from urban area to any Special Economic Zone



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Section 88 – Exemption of capital gains on transfer of assets in cases of shifting of industrial undertaking from urban area to any Special Economic Zone

Irrespective of anything contained in Section 87, Where an assessee transfers capital assets such as plant, machinery, land, building, or rights in land or building, used for the business of an industrial undertaking located in an urban area, in the consequence of shifting such undertaking to **any SEZ** (in any urban area or other area) and within one year before or three years after the date of transfer, invest in specified purposes such as purchase of plant or machinery, acquisition or construction of land or building in the **SEZ**, shifting of the undertaking, or incurring other expenses as specified in a scheme notified by the CG. *"then, instead of the capital gains being charged to income-tax as income of the tax year in which the transfer took place, it shall be dealt with as follows:—*

*(A) if the **cost and expenses** incurred on all or any of the purposes mentioned in sub-clauses (i) to (iv) referred to as "new asset",—*
(I) is less than the capital gains, the difference shall be charged under section 67 as the income of the tax year; or
(II) is equal to or more than the capital gain, no capital gain shall be charged under section 67; and

*(B) for computing **any capital gain** arising from **transfer of the new asset** within **three years** of its being purchased, acquired, constructed or transferred, the **cost** shall be **nil** in case of **sub-clause(A)(II)** or shall be **reduced** by the amount of the **capital gain** in case of **sub-clause (A)(I)**."*

Section 88 – Exemption of capital gains on transfer of assets in cases of shifting of industrial undertaking from urban area to any Special Economic Zone

If the amount of capital gain is not utilized by the assesssee for new asset before one year of transfer or due date of filing the return, then it shall be deposited in a specified bank or institution and utilized as per the scheme notified by CG on or before the due date of filing return, and such deposited amount along with the utilized amount for new asset shall be deemed to be treated as cost of the new asset.

If the amount deposited is not wholly or partly utilised within the prescribed period of three years, the unutilised portion becomes taxable as income in the year in which the three-year period expires.

The assessee is allowed to withdraw the unutilised amount in accordance with the prescribed scheme.

(5) For the purpose of this section, the expression "urban area" shall have the meaning assigned to it in section 87.

Section 88 – Exemption of capital gains on transfer of assets in cases of shifting of industrial undertaking from urban area to any Special Economic Zone

Point of Attention

A parallel shift in **cost adjustment** provisions in case of transfer of new asset within 3 years (as discussed in section 87) is **also observed in Section 88** of the Income Tax Act, 2025 where the New Act modifies the earlier approach of the Old Act, resulting in a restructured tax outcome depending on the quantum of capital gains.

Note: It appears that the present position may be attributable to a **possible drafting anomaly** in Sections **87 and 88** of the New Income-tax Act, 2025. The govt. may issue suitable amendments to rectify the same and align the provisions with those contained in the Old Act, 1961.

However, in the absence of any such correction, the interpretation would lead to the conclusions outlined in our analysis.

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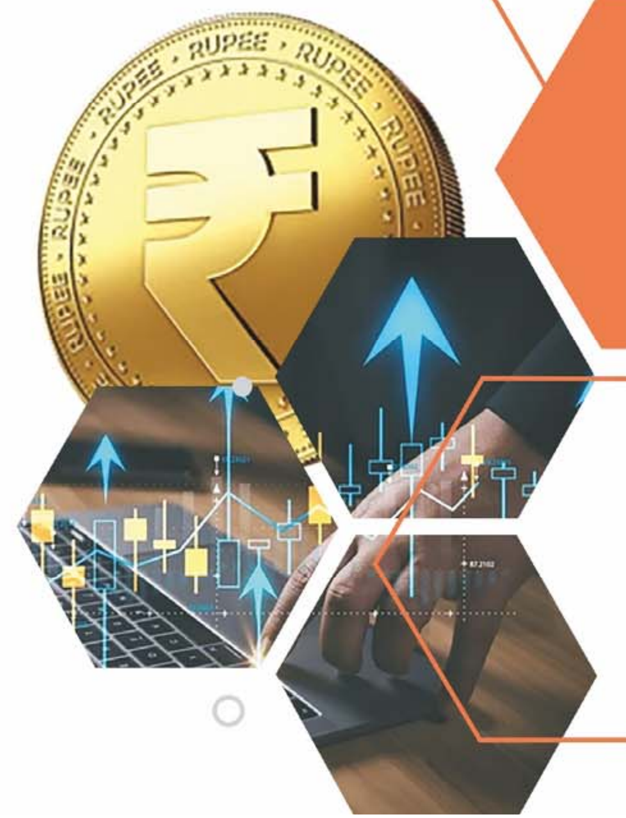
Section-89 of Income Tax Act, 2025

Extension of time for acquiring new asset or depositing or investing amount of capital gains



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Section 89 – Extension of time for acquiring new asset or depositing or investing amount of capital gains

Irrespective of anything contained in sections 82, 83, 84, 85 and 86,—

(a) if the transfer of the original asset mentioned in those sections is by way of compulsory acquisition under any law; and

(b) if the compensation awarded for such acquisition is not received by the assessee on the date of transfer, then, the period available to him under those sections for acquisition of the new asset or investment or deposit of capital gain in specified bank or institution shall be reckoned from the date of receipt of compensation.

Analysis: This provision states that in cases of compulsory acquisition, if the **compensation is not received** on the date of transfer, the **time limit for reinvestment or deposit under Sections 82 to 86 is extended.** The period is reckoned from the date the compensation is actually received. This ensures the assessee gets sufficient time to claim exemption for the given case.

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Section-90 of Income Tax Act, 2025

Meaning of “adjusted”, “cost of improvement” and “cost of acquisition”.

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Section 90 – Meaning of “adjusted”, “cost of improvement” and “cost of acquisition”

There is no significant change in the meanings of “adjusted”, “cost of improvement”, and “cost of acquisition”.

A summary of the provisions under Section 90 of the ITA’25 is provided below for better understanding.

(1) Cost of Improvement:

- For goodwill or any intangible assets or right to manufacture, produce, process any article or other rights: taken as **NIL**

- For other capital assets:
  i. If acquired before 1-4-2001 → only capital expenditure on improvements made on or after that date is considered.
  ii. If acquired after 1-4-2001 → all capital improvements made after acquisition are considered, including those made by the previous owner in specified cases.

(2) Exclusion:

Cost of improvement **does not include** expenses already **allowed as deduction** under other heads such as IFOS, PGBP, IFHP etc.

Section 90 – Meaning of "adjusted", "cost of improvement" and "cost of acquisition"

(3) Cost of Acquisition:

- For specified intangible assets (like goodwill, trademark, other rights, etc.):
  If purchased → cost = actual purchase price
  If acquired through specified modes (e.g., inheritance) → cost = previous owner's purchase price
  In any other case → cost = NIL

(4) Adjustment for Depreciation:

- For goodwill → reduce earlier depreciation claimed (pre-2020) from cost

(5) Rights/Bonus Entitlement:

- Special rules apply where additional financial assets are received (rights/bonus)

(6) Cost Rules for Rights/Bonus:

- Original asset → actual cost
- Right renounced → NIL
- Rights subscribed → amount paid
- Bonus shares → NIL
- Buyer of rights → cost = price paid

(7) Grandfathering (Pre-2018 assets):

- Cost = Higher of actual cost or (lower of FMV as on 31-1-2018 and sale value)

Section 90 – Meaning of "adjusted", "cost of improvement" and "cost of acquisition"

(8) Meaning of FMV:

- Listed → highest price on 31-1-2018
- Unlisted/units → NAV or prescribed method

(9) General Cost Rules:

- (a) Pre-2001 assets → option of actual cost or FMV (1-4-2001)
- (b) Inherited assets → previous owner's cost or FMV
- (c) Liquidation → FMV on distribution
- (d) Share restructuring → derived cost from original shares

(10) For Sub section 9(a) and (b) above, FMV Cap:

- FMV (1-4-2001) for land/building **cannot exceed** stamp duty value

(11) Unascertained Cost:

- If cost not known → take FMV at acquisition by previous owner

(12) Demutualisation Cases:

- Shares → cost = original membership cost
- Trading rights → cost = NIL

Section 91 – Reference to Valuation Officer

(1) For ascertaining the fair market value of a capital asset for this Chapter, the Assessing Officer may refer the valuation of the capital asset to a Valuation Officer,—

(a) if the value of the asset claimed by the assessee is as per the estimate by a registered valuer, but the Assessing Officer is of the opinion that the value so claimed is at variance with its fair market value;

(b) in any other case, if the Assessing Officer is of the opinion that—

(i) the fair market value of the asset exceeds the value claimed by the assessee by more than the percentage of value of such asset or amount, as may be prescribed; or

(ii) having regard to the nature of the asset and other relevant circumstances, it is necessary so to do.

(2) The provisions of section 269(3) to (8) shall, with necessary modifications, apply in relation to such reference made under sub-section (1).

Section 91 – Reference to Valuation Officer

Analysis: This provision empowers the Assessing Officer (AO) to refer the valuation of a capital asset to a Valuation Officer whenever he is not satisfied with the value claimed by the assessee. Such reference can be made even if the assessee has relied on a registered valuer's report, provided the AO believes the value is not in line with the fair market value.

In other cases, the AO may initiate a reference where the **difference** between the **declared value and the fair market value** exceeds a prescribed threshold, or where, considering the nature of the asset and other relevant circumstances, such reference is necessary. The valuation process will then be governed by the provisions of section 269(3) to (8), ensuring a fair, expert-based determination of value.

The objective of this provision is to ensure accurate determination of fair market value, prevent undervaluation, and bring objectivity and fairness into tax assessments.

Comparative Analysis of Rule 55 of IT Rules, 2026 vs Rule 111AA of IT Rules, 1962

Rule- 55 of IT Rules, 2026	**Rule- 111AA of IT Rules,1962**
Conditions for reference to Valuation Officers under section 91(1)(b).– For the purposes of Section 91(1)(b)(i),– (a) the percentage of the value of the asset shall be **15%**; and (b) the amount shall be **ten lakh rupees**.	Conditions for reference to Valuation Officers. The percentage of the value of the asset and the amount referred to in sub-clause (i) of clause (b) of section 55A shall, respectively, be **15 per cent** and, Rs. **25,000**.

Note: As per Rule 111AA of Income Tax Rules,1962 , the assessing officer may refer to a valuation officer to ascertain the Fair Market Value ('FMV') of an asset, if the assessing officer is of the opinion that, the fair market value of the asset exceeds the value of the asset as claimed by the assessee by more than 15 per cent and amount referred as Rs. 25,000. As per Rules 55 of Income Tax Rules, 2026, the above sum of **INR 25,000 is increased to INR 10,00,000**.

Thank You

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